Credit memo: PROCTER & GAMBLE Co

Borrower	PROCTER & GAMBLE Co
Fiscal year	ending 2026-06-30 (SEC 10-K XBRL filings)
Proposed facility	USD 100m 5-year floating-rate bullet at 6.0%
Purpose	capital expenditure
Analyst review	Draft, not yet reviewed by an analyst. All sentences passed the evidence and consistency checks.
Prepared	2026-11-05T07:39:56Z · writer template · snapshot c26b8f2d6f13

ANALYST REVIEW REQUIRED — decision support only; not a rating, not a probability of default, not a lending decision.

Amounts in USD millions unless stated. Every number is inserted from the deterministic engines and cited in brackets; the appendix gives each source.

Executive assessment

After the facility, net debt / EBITDA would be 1.06x, against 1.06x before it, with EBITDA / interest at 25.94x.[1–3] The next-FY accounting-stress screen is 1.0%, in the low band.[4–5] The maximum net debt / EBITDA covenant of 3.50x holds in the downside case, with headroom of 2.17x.[6–7] Figures come from SEC 10-K XBRL filings; the memo supports analyst judgement and makes no lending decision.[8]

Financial profile

Revenue was USD 87,032m, up 3.3% year on year.[9–10] EBITDA, approximated as operating income plus depreciation and amortization, was USD 22,908m, a margin of 26.3%, against 27.6% a year earlier.[11–13] Operating cash flow of USD 19,556m covered capital expenditure of USD 4,409m, leaving simple free cash flow of USD 15,147m.[14–16] Gross debt stood at USD 34,136m and cash at USD 9,942m, for net debt of USD 24,194m.[17–19] Net debt / EBITDA was 1.06x and EBITDA / interest 26.12x.[2, 20]

Key strengths

Leverage is moderate, with net debt / EBITDA of 1.06x.[2] Interest is comfortably covered, with EBITDA / interest of 26.12x.[20] The business generated positive free cash flow of USD 15,147m.[16]

Key risks

The current ratio of 0.68x is below one, so current liabilities exceed current assets.[21] Reported cash includes restricted cash that the filing does not separate, so net debt and net debt / EBITDA may be understated.[22] Some inputs were derived or approximated (1 data warnings); see the evidence appendix.[23]

Neural stress screen

The neural stress screen puts the chance that next year's accounts show financial stress at 1.0%, in the low screening band.[4–5] The largest contributions came from operating cash flow to assets (lowering the score) and company size (lowering the score).[24–25] On held-out years the model reached a precision-recall AUC of 0.805, against 0.825 for an XGBoost benchmark.[26–27] The screen is an indicator of accounting stress, not of default, and is one input to analyst judgement.

Stress cases

In the base case gross debt rises to USD 34,236m and net debt / EBITDA is 1.06x, with EBITDA / interest at 25.94x.[1, 3, 28] In the downside case (EBITDA -20%, rates +200 bp) net debt / EBITDA reaches 1.33x and EBITDA / interest is 20.71x.[29–31] In the severe case (EBITDA -35%, rates +400 bp) net debt / EBITDA reaches 1.63x and EBITDA / interest is 16.79x.[32–34] In the analyst's own case (EBITDA -10%, rates +100 bp) net debt /

EBITDA is 1.18x and EBITDA / interest is 23.32x.[35–37] Proceeds spent on capex or acquisitions are assumed to add no EBITDA.

	Before loan	Base	Downside	Severe	Your case
Assumptions	reported	no shock	EBITDA -20%, rates +200 bp	EBITDA -35%, rates +400 bp	EBITDA -10%, rates +100 bp
EBITDA	USD 22,908m	USD 22,908m	USD 18,326m	USD 14,890m	USD 20,617m
Gross debt	USD 34,136m	USD 34,236m	USD 34,236m	USD 34,236m	USD 34,236m
Net debt	USD 24,194m	USD 24,294m	USD 24,294m	USD 24,294m	USD 24,294m
Net debt / EBITDA	1.06x	1.06x	1.33x	1.63x	1.18x
EBITDA / interest	26.12x	25.94x	20.71x	16.79x	23.32x
Headroom: max net debt / EBITDA	—	2.44x	2.17x	1.87x	2.32x
Headroom: min EBITDA / interest	—	22.94x	17.71x	13.79x	20.32x

Headroom is the distance to the covenant limit; a breach shows the shortfall.

Covenant headroom

Against a maximum net debt / EBITDA of 3.50x, headroom is 2.44x in the base case and 2.17x in the downside.[6–7, 38] In the analyst's own case headroom is 2.32x.[39] Against a minimum EBITDA / interest of 3.00x, headroom is 22.94x in the base case and 17.71x in the downside.[40–42] In the analyst's own case headroom is 20.32x.[43]

Diligence questions

Is a maximum net debt / EBITDA covenant of 3.50x appropriate given the downside headroom?[6] How much of the existing debt is floating-rate, and is it hedged? Does operating income include one-off items that an adjusted EBITDA would remove? Close the data gaps listed in the appendix before committee.

Assumptions (analysis snapshot c26b8f2d6f13)

Input	Value
Baseline (credit basis)	EBITDA USD 22,908.0m, gross debt 34,136.0m, cash 9,942.0m, interest 877.0m
Cash basis	combined not separable
Facility	USD 100.0m, 5-year, floating at 6.00%, repayment 0.0m a year
Use of proceeds	capex
Existing debt at floating rate	0.00%
Covenants	max net debt / EBITDA 3.50x; min EBITDA / interest 3.00x
Case: Base	EBITDA +0%, rates +0 bp
Case: Downside	EBITDA -20%, rates +200 bp
Case: Severe	EBITDA -35%, rates +400 bp
Case: Your case	EBITDA -10%, rates +100 bp
Snapshot	c26b8f2d6f13 (loan engine v1.1.0, snapshot format v1)

Source trail for headline figures

Each figure from the filing to the memo: where it was reported, the normalized fact (with any rule applied), the calculation, and the first memo sentence that cites it.

EBITDA (approx.) (FY2026): USD 22,908m

Filing → normalized	Operating income: 19,748,000,000 USD, tag OperatingIncomeLoss, 10-K filed 2026-08-04, accession 0000080424-26-000103 → 19,748.0m Depreciation and amortization: 3,160,000,000 USD, tag DepreciationDepletionAndAmortization, 10-K filed 2026-08-04, accession 0000080424-26-000103 → 3,160.0m

Calculation	EBITDA = 19,748.0 + 3,160.0 = 22,908.0
Memo statement	“EBITDA, approximated as operating income plus depreciation and amortization, was USD 22,908m, a margin of 26.3%, against 27.6% a year earlier.” (Financial profile, [11])

Net debt (FY2026): USD 24,194m

Filing → normalized	Short-term borrowings: 4,837,000,000 USD, tag CommercialPaper, 10-K filed 2026-08-04, accession 0000080424-26-000103 → 4,837.0m Current portion of long-term debt: 6,457,000,000 USD, tag LongTermDebtCurrent, 10-K filed 2026-08-04, accession 0000080424-26-000103 → 6,457.0m Long-term debt (non-current): 22,842,000,000 USD, tag LongTermDebtNoncurrent, 10-K filed 2026-08-04, accession 0000080424-26-000103 → 22,842.0m Cash and equivalents: 9,942,000,000 USD, tag CashCashEquivalentsRestrictedCashAndRestrictedCashEquivalents, 10-K filed 2026-08-04, accession 0000080424-26-000103 → 9,942.0m
Calculation	Gross debt = 4,837.0 + 6,457.0 + 22,842.0 = 34,136.0 Net debt = 34,136.0 - 9,942.0 = 24,194.0
Memo statement	“Gross debt stood at USD 34,136m and cash at USD 9,942m, for net debt of USD 24,194m.” (Financial profile, [19])

Net debt / EBITDA (FY2026): 1.06x

Filing → normalized	Operating income: 19,748,000,000 USD, tag OperatingIncomeLoss, 10-K filed 2026-08-04, accession 0000080424-26-000103 → 19,748.0m Depreciation and amortization: 3,160,000,000 USD, tag DepreciationDepletionAndAmortization, 10-K filed 2026-08-04, accession 0000080424-26-000103 → 3,160.0m Short-term borrowings: 4,837,000,000 USD, tag CommercialPaper, 10-K filed 2026-08-04, accession 0000080424-26-000103 → 4,837.0m Current portion of long-term debt: 6,457,000,000 USD, tag LongTermDebtCurrent, 10-K filed 2026-08-04, accession 0000080424-26-000103 → 6,457.0m Long-term debt (non-current): 22,842,000,000 USD, tag LongTermDebtNoncurrent, 10-K filed 2026-08-04, accession 0000080424-26-000103 → 22,842.0m Cash and equivalents: 9,942,000,000 USD, tag CashCashEquivalentsRestrictedCashAndRestrictedCashEquivalents, 10-K filed 2026-08-04, accession 0000080424-26-000103 → 9,942.0m
Calculation	EBITDA = 19,748.0 + 3,160.0 = 22,908.0 Gross debt = 4,837.0 + 6,457.0 + 22,842.0 = 34,136.0 Net debt = 34,136.0 - 9,942.0 = 24,194.0 Net debt / EBITDA = 24,194.0 / 22,908.0 = 1.06x
Memo statement	“After the facility, net debt / EBITDA would be 1.06x, against 1.06x before it, with EBITDA / interest at 25.94x.” (Executive assessment, [2])

EBITDA / interest (FY2026): 26.12x

Filing → normalized	Operating income: 19,748,000,000 USD, tag OperatingIncomeLoss, 10-K filed 2026-08-04, accession 0000080424-26-000103 → 19,748.0m Depreciation and amortization: 3,160,000,000 USD, tag DepreciationDepletionAndAmortization, 10-K filed 2026-08-04, accession 0000080424-26-000103 → 3,160.0m Interest expense: 877,000,000 USD, tag InterestExpenseNonoperating, 10-K filed 2026-08-04, accession 0000080424-26-000103 → 877.0m
Calculation	EBITDA = 19,748.0 + 3,160.0 = 22,908.0 EBITDA / interest = 22,908.0 / 877.0 = 26.12x
Memo statement	“Net debt / EBITDA was 1.06x and EBITDA / interest 26.12x.” (Financial profile, [20])

Evidence appendix

#	Item	Value	Source
1	Base case net debt / EBITDA	1.06x	Loan engine v1.1.0, Base case
2	Net debt / EBITDA (FY2026)	1.06x	Formula net_debt / ebitda (v1.0.0)
3	Base case EBITDA / interest	25.94x	Loan engine v1.1.0, Base case
4	Next-FY accounting-stress probability	1.0%	Neural stress model stress_mlp_v1; inputs as of 2026-08-04

#	Item	Value	Source
5	Screening band	low	Neural stress model stress_mlp_v1; inputs as of 2026-08-04
6	Covenant: maximum net debt / EBITDA	3.50x	Analyst input in the loan lab
7	Downside case headroom (max net debt / EBITDA)	2.17x	Loan engine v1.1.0, Downside case
8	Data source	SEC 10-K XBRL filings	SEC XBRL companyfacts
9	Revenue (FY2026)	USD 87,032m	10-K XBRL Revenues, accession 0000080424-26-000103, filed 2026-08-04
10	Size of revenue change	3.3%	Formula |revenue_t / revenue_t-1 - 1| (v1.0.0)
11	EBITDA (approx.) (FY2026)	USD 22,908m	Formula operating_income + depreciation_amortization (v1.0.0)
12	EBITDA margin (FY2026)	26.3%	Formula ebitda / revenue (v1.0.0)
13	EBITDA margin (FY2025)	27.6%	Formula ebitda / revenue (v1.0.0)
14	Operating cash flow (FY2026)	USD 19,556m	10-K XBRL NetCashProvidedByUsedInOperatingActivities, accession 0000080424-26-000103, filed 2026-08-04
15	Capital expenditures (FY2026)	USD 4,409m	10-K XBRL PaymentsToAcquirePropertyPlantAndEquipment, accession 0000080424-26-000103, filed 2026-08-04
16	Free cash flow (CFO – capex) (FY2026)	USD 15,147m	Formula cfo - capex (v1.0.0)
17	Gross debt (FY2026)	USD 34,136m	Formula short_term_borrowings + current_maturities_ltd + long_term_debt_noncurrent (v1.0.0)
18	Cash and equivalents (FY2026)	USD 9,942m	10-K XBRL CashCashEquivalentsRestrictedCashAndRestrictedCashEquivalents, accession 0000080424-26-000103, filed 2026-08-04
19	Net debt (FY2026)	USD 24,194m	Formula gross_debt - unrestricted_cash (v1.0.0)
20	EBITDA / interest (FY2026)	26.12x	Formula ebitda / interest_expense (v1.0.0)
21	Current ratio (FY2026)	0.68x	Formula current_assets / current_liabilities (v1.0.0)
22	Cash basis	includes restricted cash that the filing does not separate	Data-quality checks (R5: only a combined cash-and-restricted-cash total is tagged)
23	Data-quality warnings	1	Data-quality checks
24	Model driver 1	operating cash flow to assets (lowering the score)	Neural stress model stress_mlp_v1; inputs as of n/a
25	Model driver 2	company size (lowering the score)	Neural stress model stress_mlp_v1; inputs as of n/a
26	Model held-out PR-AUC	0.805	Frozen test-window evaluation (model card)
27	XGBoost benchmark PR-AUC	0.825	Frozen test-window evaluation (model card)
28	Base case gross debt	USD 34,236m	Loan engine v1.1.0, Base case
29	Downside case assumptions	EBITDA -20%, rates +200 bp	Loan engine v1.1.0, Downside case
30	Downside case net debt / EBITDA	1.33x	Loan engine v1.1.0, Downside case
31	Downside case EBITDA / interest	20.71x	Loan engine v1.1.0, Downside case
32	Severe case assumptions	EBITDA -35%, rates +400 bp	Loan engine v1.1.0, Severe case
33	Severe case net debt / EBITDA	1.63x	Loan engine v1.1.0, Severe case
34	Severe case EBITDA / interest	16.79x	Loan engine v1.1.0, Severe case

#	Item	Value	Source
35	Your case assumptions	EBITDA -10%, rates +100 bp	Loan engine v1.1.0, Your case case
36	Your case net debt / EBITDA	1.18x	Loan engine v1.1.0, Your case case
37	Your case EBITDA / interest	23.32x	Loan engine v1.1.0, Your case case
38	Base case headroom (max net debt / EBITDA)	2.44x	Loan engine v1.1.0, Base case
39	Your case headroom (max net debt / EBITDA)	2.32x	Loan engine v1.1.0, Your case case
40	Covenant: minimum EBITDA / interest	3.00x	Analyst input in the loan lab
41	Base case headroom (min EBITDA / interest)	22.94x	Loan engine v1.1.0, Base case
42	Downside case headroom (min EBITDA / interest)	17.71x	Loan engine v1.1.0, Downside case
43	Your case headroom (min EBITDA / interest)	20.32x	Loan engine v1.1.0, Your case case

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